

Understanding yourself is crucial to investors. This isn't a Zen discussion of achieving oneness with the universe and self-enlightenment; rather, it explains why knowing what you actually know, understanding what you don't know, and being highly aware of the danger when you think you know (but really don't) is so crucial.

The best question we can ask of an investment manager—or any investor can ask themselves—is not, “How smart are you?” Rather, it's how well do we know ourselves? Can we control our own behavior?

In *The Intelligent Investor*,³⁷⁶ Benjamin Graham wrote, “investing isn't about beating others at their game. It's about controlling yourself at your own game.” His star pupil, Berkshire Hathaway's Warren Buffett, expressed a similar idea in the preface to the revised edition: “To invest successfully does not require a stratospheric IQ, unusual business insights, or inside information. What's needed is a sound intellectual framework for making decisions and the ability to keep emotions from corroding the framework.” When speaking in public, Buffett has been known to add, “Any IQ over 125 is wasted.”

Self-awareness and control are the keys. Understanding your temperament, skills, and limitations is crucial. Not just amateurs, but many professionals are also stunningly unaware of their inferior knowledge and emotional control. They do not know what they do not know—often fatally so (at least to their portfolios).

Socrates may have been the first person to eloquently write about metacognition: “I only know that I know nothing.” It may be counterintuitive, but understanding one's own ignorance is the first step to attaining knowledge. His student Aristotle observed “Knowing yourself is the beginning of all wisdom,” about 2,400 years before Professor Dunning delved into the details as to how and why that is.

Or you may prefer Shakespeare's take in *As You Like It*: “The fool doth think he is wise, but the wise man, knows himself to be a fool.”